

Chapter 1: Introduction to Digital Marketing

Digital Marketing Excellence

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What is DM

The American Marketing Association (AMA), defines marketing as “The activity, set of institutions and processes for creating, communicating, delivering and exchanging offerings that have value for customers, clients, partners and society at large so that meaningful relations can be formed, using digital medium.” (AMA,2017).

Why Digital Marketing?

1. Sell – Grow Sales

Digital marketing expands your reach beyond physical limitations. It helps increase sales by:

- **Wider Distribution:** Reaching customers you cannot easily service offline.
- **Wider Product Range:** Offering a larger selection than what could fit in a physical store.
- **Lower Prices:** Using the efficiency of digital channels to offer competitive pricing.

2. Serve – Add Value

Digital platforms provide new ways to enhance the customer experience:

- **Online Customer Service:** Providing 24/7 support through chatbots, FAQs, and social media.
- **Inform Product Development:** Using online feedback and dialogue to improve what you offer.
- **Convenience:** Allowing customers to find information and make purchases whenever and wherever they want.

Why Digital Marketing?

3. Speak – Get Closer to Customers

The "Speak" objective focuses on two-way communication rather than one-way broadcasting

- **Dialogue and Participation:** Engaging in conversations through social media, forums, and live chat.
- **Market Research:** Conducting formal surveys or informally monitoring online discussion to learn about customer preferences.
- **Inbound Marketing:** Using content to attract customers when they are proactively looking for information.

4. Save – Save Costs

Efficiency is a primary driver for adopting digital tools:

- **Reduced Transaction Costs:** Moving sales and service online reduces the need for physical staff and premises.
- **Communication Savings:** Digital messaging and email significantly lower printing and postage costs.
- **Web Self-Service:** Allowing customers to resolve their own queries through online content, which reduces support overhead.

Why Digital Marketing?

5. Sizzle – Extend the Brand Online

This is about building brand "magic" and advocacy:

- **Enhanced User Experience:** Creating positive, engaging experiences that increase audience satisfaction.
- **Brand Advocacy:** Building communities where loyal customers recommend the brand to others.
- **New Propositions:** Offering unique online-only benefits or interactive experiences that strengthen the brand's identity.

Additional Strategic Benefits

- **Measurability:** Digital marketing is highly trackable, allowing you to prove Return on Investment (ROI) and see exactly which touchpoints led to a sale.
- **Precision Targeting:** You can pinpoint specific audiences based on detailed data, ensuring your message reaches the most relevant people.
- **Agility:** Plans can be adjusted in real-time based on data insights, reducing the risk of "costly trial and error."

DM situation

		From: Supplier of content/service	
		Consumer	Business (organization)
To: Consumer of content/service	Business (organization)	Consumer-to-Consumer (C2C)	Business-to-Consumer (B2C)
		• eBay • Peer-to-peer (Skype) • Social networks and blogs • Product recommendations	• Transactional: Amazon • Relationship-building: BP • Brand-building: Unilever • Media owner: NewsCorp • Comparison intermediary: Kelkoo, Pricerunner
		Consumer-to-Business (C2B)	Business-to-Business (B2B)
		• Groupon and Priceline • Consumer-feedback, communities or campaigns	• Transactional: Eurooffice • Relationship-building: BP • Media-owned: Emap business publications • B2B marketplaces: EC21

DM activities



Right Touching

Right Touching is:

A Multi-channel Communications Strategy

Customized for **Individual Prospects** and **Customers** forming **segments**

Across a **defined customer lifecycle**

Which . . .

Delivers the **Right Message**

Featuring the **Right Value Proposition** (product, service or experience)

With the **Right Tone**

At the **Right Time**

With the **Right Frequency and Interval**

Using the **Right Media/Communications channels**

To achieve . . .

Right balance of value between both parties

DM check list

1. Search marketing
2. *Behavioural targeting or online advertising*
3. *Multi-touches across different digital media channels for acquisition.*
4. *Customer lifecycle model and welcome strategy.*
5. *Reducing online attrition*
6. *Delivering relevant recommendations for retention and growth.*
7. *Following up on customer product or promotion interest.*
8. *Getting the frequency right*
9. *Getting the channel right*
10. *Getting the channel right*

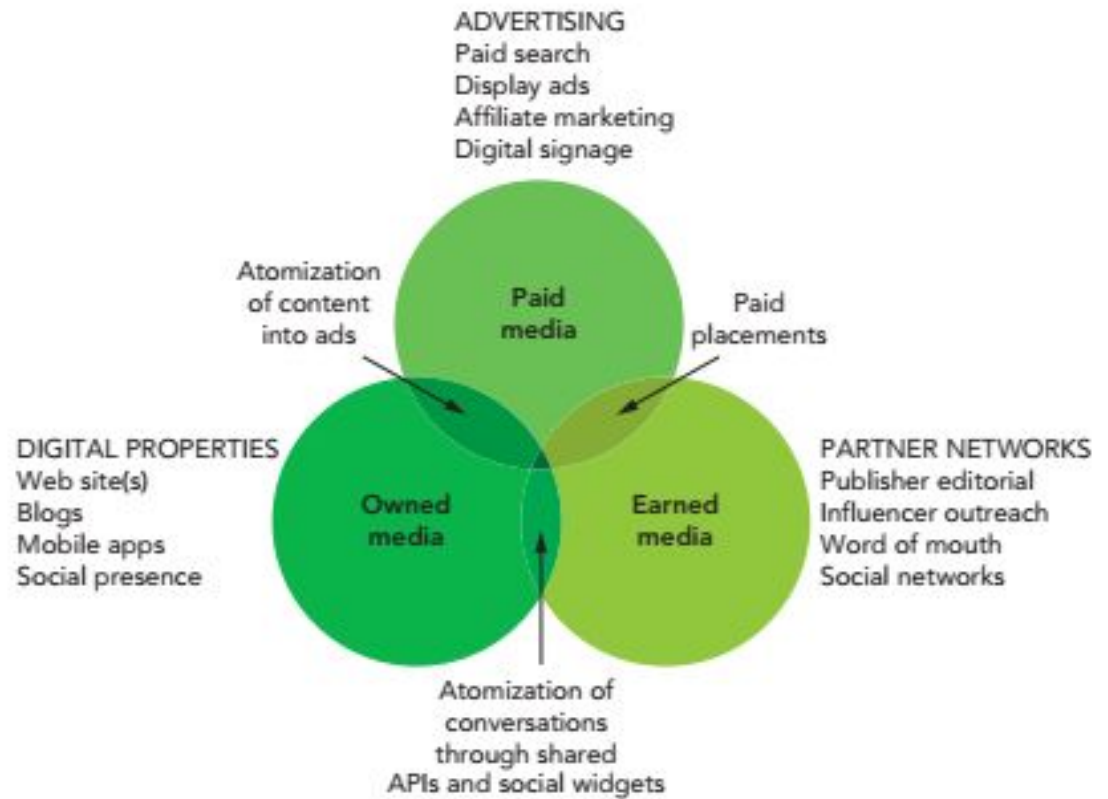
What does
digital
marketing
involve?

1. Identify
2. *Anticipate*
3. *Satisfy*
4. *Efficiently*

5s DM

Benefit of digital marketing	How benefit is delivered	Typical objectives
Sell – Grow sales	Achieved through wider distribution to customers you can't readily service offline or perhaps through a wider product range than in-store or lower prices compared to other channels.	• Achieve 10% of sales online in market • Increase online sales for product by 20% in year • Increase conversion rate by 5%.
Serve – Add value	Achieved through giving customers extra benefits online or inform product development through online dialogue and feedback.	• Increase conversion rate by 5% • Increase interaction with different content on site • Increase dwell time duration or pages per view on site by 10% (sometimes known as stickiness) • Increase number of customers actively using online services (at least once per month) to 30%.
Speak – Get closer to customers	This is creating a two-way dialogue through web and email forms and polls; conducting online market research through formal surveys; and informally monitoring chat rooms to learn about them. Also speak through reaching them via <i>key influencers</i> through e-PR.	• Grow email coverage to 50% of current customer database • Survey 1,000 customers online each month • Increase visitors to community site section or increase ratings/reviews and discussions by 5%.
Save – Save costs	Achieved through online email communications, sales and service transactions to reduce staff, print and postage costs.	• Generate 10% more sales for same communications budget • Reduce cost of direct marketing by 15% through email • Increase web self-service to 40% of all service enquiries and reduce overall cost-to-serve by 10%.
Sizzle – Extend the brand online	Achieved through providing a new proposition and new experience online while at the same time appearing familiar.	• Add two new significant enhancements to the customer online experience • Rework online value proposition messaging • Improve branding metrics such as: brand awareness, reach, brand favourability and purchase intent.

Types of Digital Media



Key Digital Marketing Terminologies



Visibility & Engagement

- **Impressions** – Total times an ad is shown
- **Reach** – Unique users who see the ad
- **CTR** – Clicks ÷ Impressions
- **Engagement Rate** – Likes, comments, shares



Cost & Performance Metrics

- **CPC** – Cost per click
- **CPM** – Cost per 1,000 impressions
- **CPA** – Cost per acquisition
- **ROI** – Profit vs marketing spend



Search & Traffic

- SEO – Organic search optimization
 - SEM / PPC – Paid search marketing
 - Keywords – User search terms
 - Organic Traffic – Unpaid visitors
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Optimization & Conversion

- Landing Page – Conversion-focused page
- Conversion Rate – Successful actions %
- A/B Testing – Compare versions
- Remarketing – Ads to past visitors



Sales Funnel

Awareness → Consideration → Conversion